

# INTERNATIONAL RELATIONS



INDIA - IRAN

MODULE - 43

## INDIA AND IRAN

- 1 Since pre-historic times, there have been cultural similarities between Persia and India.
- 2 The use of Persian languages at the Mughal courts is an examples of Iranian influence in North India.
- 3 After Iran, India has the second largest Shia population in the world.
- 4 Lucknow is a major centre for Shiite culture and Persian study in the subcontinent.

- 5 In pre-independence days, India and Iran were neighbors.



- 1 Diplomatic relations between the two countries established since 1950.
- 2 During the Cold War period, India remained non-aligned but was tilted towards Soviet Union.
- 3 Iran, however, was heavily under the influence of the West and became a member of several western-sponsored regional organisations like the Baghdad Pact.
- 4 Moreover, Iraq was a close friend of India and Iran and Iraq were constantly at war with each other. Indo- Iran relations started developing with Prime Minister Rao's visit to Iran.



## GEO-POLITICAL

**1** Iran is a gateway to Central Asia. After removal of US sanctions, significance of Iran's position for India increases.

**2** Iran provides overland connectivity between Eurasia and India. Iran can provide connectivity to Central Asia and Europe via International North South Corridor, which will reduce travel time to 40% and 30% less expensive than trade via Red Sea-Suez Canal- Iran provides and alternative route to Afghanistan.

**3** Iran has border with several countries that India cannot access because of overland barrier.



## ENERGY

- 1 Iran has been a reliable partner for India and follows a rational pricing for oil imports from Iran.
- 2 Iranian oil is cheaper as compared to Saudi oil and can reduce India's dependence on Saudi Arabia.
- 3 Also, Iran has world's second largest reserve of natural gas.
- 4 Iran has offered favorable deals for India like non-dollar oil sales.
- 5 It is also funneling Iranian oil into expanding its reserves for contingency situations.
- 6 In 2016, the Indian Minister for Petroleum and Natural Gas sealed the terms to develop the gas project Farzad B in the Persian Gulf.



## ENERGY

- 7 India is shoring up plans to find alternative sources of energy from Iran as the US has provided only 6 months waiver. India lined up \$20million for investment in oil and gas, petrochemical and fertilizer project in Iran.
- 8 India is pursuing the Iran-Pakistan-India (IPI) gas pipeline.
- 9 The operation of this project will be reinforced by the Trilateral 'Framework Agreement'.
- 10 The Turkmenistan-Afghanistan-Pakistan-India (TAPI) pipeline is yet to start off. India is keen on developing an undersea pipeline project



## CHABAHAR PORT

- 1 The Chabahar port is in the Sistan Balochistan province of Iran. It lies in the Gulf of Oman. This coast is relatively underdeveloped and is ideal to serve as an industrial zone.
- 2 It is energy rich and is being developed for oil refineries, petrochemicals and steel factories
- 3 In May 2016, India, Iran and Afghanistan signed a pact to establish a transit and transport corridor among the three countries using Chabahar Port as one of the regional hubs for sea transportation, multi-modal transport of goods and passengers across the three nations.
- 4 It has the potential of becoming India's gateway to Afghanistan, Central Asia and Europe.
- 5 Prime Minister Modi referred to the port as the 'Golden Gateway'.



## CHABAHAR PORT

### BENEFITS FOR INDIA

- The ports open a permanent alternative route for trade with Afghanistan and Central Asia. For India, this port is important because it can serve as a counter to Gwadar port built by Chinese assistance
- Through Chabahar, the possibilities of manufacturing and downstream petrochemical industries are greater as cheap and easy natural gas is available.
- This port will help India expand its maritime commerce in the region; thereby providing opportunities to Indian companies to enhance their footprint in the region.
- This may positively provide regional growth and prosperity.
- From Chabahar, existing Iranian network will link up to Zaranj in Afghanistan. It will boost India's access to Iran and INSTC.



## ECONOMIC

- 1** India can supply steel, aluminium, mines, minerals and metals to Iran. Iran buys basmati rice and sugar, agro-chemical and chemical products from India
- 2** The Indian pharma exports to Iran accounted for \$124.5 million. Earlier 20% of pharma products used to be imported from Europe. With uncertainty over supplies from Europe, the Indian pharma industry has an opportunity to increase exports to Iran.
- 3** Additionally, the rupee payment mechanism could accelerate the process further. With this system, Indian refiners can make payments in rupee for oil imports from Iran, to designated accounts maintained with UCO Bank.



TRANSIT

- 1 India has committed to building 500 kilometre \$1.6 billion railway from Chabahar to Zahedan, which are both in the Sistan-Baluchistan province. It is also part of the trilateral agreement between India, Iran and Afghanistan on a transit and trade corridor.
- 2 Russia and Iran signed an agreement in 2000 for sending the Indian cargo to Russia via Iran through a North South Corridor.
- 3 In 2008, India promised an independent policy towards Iran and not to yield under US pressure.



## AFGHANISTAN QUESTION

- 1 India and Iran share the goal of a **stable government in Afghanistan**.
- 2 India is **constructing a 560-mile long railway link linking Iranian port with iron ore mines in Afghanistan**. This will enhance India's leverage and position in Afghanistan and create a direct link to Afghanistan bypassing Pakistan.
- 3 Indian companies will get access to Afghan mineral wealth as a result of the rail link.



## BILATERAL EXTRADITION TREATY

- 1 India signed of an extradition treaty with Iran on mutual legal assistance in criminal matters.
- 2 The treaty would provide a legal framework for seeking extradition of terrorists, economic offenders, and other criminals from and to Iran.
- 3 The countries agreed for bilateral cooperation in security, defence and fight against terrorism.



## IRAN'S STAND ON KASHMIR

- 1 Iran's South Asia policy has a major challenge -how to balance between India and Pakistan, the Subcontinent's two nuclear powers.
- 2 Iran expects India to help the Muslims and stop the violation of the rights of Muslims.
- 3 Iran is concerned about the Shia community of Kargil and Lucknow as compared to the Shia community of Kashmir.



- 1 India and Iran are committed to ensuring security and stability in Afghanistan, but their approaches are different. Iran has been providing military support to the Taliban in Afghanistan.
- 2 It wants the US forces to leave and is willing to cooperate with Pakistan and China in bringing Taliban to the negotiating table.
- 3 India, on the other hand, does not believe in a 'good Taliban'. It feels US forces are important for maintaining peace in the region.
- 4 It believes Pakistan is providing safe havens for terrorist organisations and these extremist groups cannot be a part of the peace process.



### IRAN'S STAND ON KASHMIR

- 5 Iran has sent Afghans to fight for its ally in Syria.
- 6 In 2018, US quit the Iranian deal and imposed harsh sanctions on the country.
- 7 During that time, US had provided a 180-day waiver to eight countries including India, Japan and China.
- 8 This waiver had allowed India to continue buy Iranian oil for the next 180 days.
- 9 In April 2019, US asked India and China to completely end oil imports from Iran in order to avoid US sanctions.



## IRANIAN NUCLEAR DEAL

- 1 The Joint Comprehensive Plan of Action (JCPOA) or the Iranian Nuclear Deal was signed between Iran and the P5+1 countries.
- 2 It ended Iran's isolation from the world. After signing of the deal, sanctions were lifted off Iran and it was relief for India.
- 3 But President Trump scrapped the deal, triggering regional tensions in the region. He termed Iran as the 'leading state sponsor of terror' in the region.
- 4 The Iranian deal, however, will not be scrapped until Iran and other signatories are committed to it.



- 1 In December 2018, an Iranian-backed militia fired rockets at a military base in Iraq killing an American contractor.
- 2 In retaliation, the US launched missile strikes against Iraqi militias. It led to an assault on the U.S. Embassy in Baghdad by the Iraqi Shia protesters.
- 3 Finally, a retaliatory strike by the United States killed Qasem Soleimani- a top Iranian military commander, which makes Iranian retaliation inevitable.
- 4 The escalating tension between Iran and the USA is leading to a situation of crisis in the West Asian region and has affected Indian interests as well.
- 5 India has consistently advocated restraint to such situations as it has vital interests in the region in the form of its large diaspora and oil & gas demand.



## INDIA'S INTERESTS

This decision of US is affecting India in the following ways:

### 1. ECONOMIC

- Rising inflation in India and depreciating Indian rupee.
- India has already committed \$85 million for development of Chabahar port and the railway link will cost about \$1.66 billion.
- India is a founder of the International North South Transport Corridor (INSTC). Plans for INSTC sped up the Iranian deal and lifting of sanctions. US decision is bound to affect its functioning.



## INDIA'S INTERESTS

### 2. GEO-POLITICAL

- Iran is geographically connects West Asia and Africa, and is thus important for India
- Strategic connectivity interests of India including Chahbahar port might get affected. India might have to look for alternate routes to Afghanistan

### 3. ENERGY

- The conflict can affect oil supplies in the country. With India importing 70 percent of oil, the rising costs can affect domestic cost conditions and India's forex reserves
- Iranian Economy is in bad shape due to sanctions and depressed oil prices.



## DIASPORA

- 1 The safety of the Indian diaspora in West Asia is important to India.
- 2 It might get affected due to the tension in the region. India has organized evacuations from Kuwait in 1990 and from Libya in 2011 in the event of tensions in the region
- 3 Remittances coming from the Indian diaspora might get severely affected, further disturbing our Forex reserves



### OPTIONS BEFORE INDIA

- 1 Considering India's interests in the region, India should play a proactive role in mediation. Diplomatically, India has a longstanding relationship with both Iran and the US. Therefore, can play a key role in de-escalating the situation.
- 2 India should explore alternate sources of oil supply and should try to harness renewable sources of energy through initiatives like International Solar Alliance.
- 3 India feels important to support the governance structure in Iran.



### OPTIONS BEFORE INDIA

- 4 It expects the Iranian nuclear issue to be resolved through negotiation and mutual cooperation. India would continue to monitor the developments and study the implications of the withdrawal of the US from the Iranian deal.
- 5 Normalisation of relations with Pakistan is essential for a successful 'Look West' policy. Whether it is in gaining access to Afghanistan and Central Asia, ensuring India's energy security, expanding ties with the Gulf, or limiting the threat of terrorism in the subcontinent, cooperation with Pakistan is essential.



### OPTIONS BEFORE WORLD LEADERS

- 1 Political will of all the direct and indirect involved stakeholder should work towards resolving the issue.
- 2 Given their multiple interests in the Middle East, great powers do not take sides between Arabs and Israel, the Shia and Sunni. India too must shed its past ideological approach and focus on the pragmatic engagement of all sides.
- 3 Iran has become defensive and is threatening to retaliate in the event of an attack
- 4 Hence, world leaders need to pacify both the US and Iran to contain the possibility of a war.



### FIRST INDIA ARAB MINISTERIAL CONFERENCE

- 1 The 1st Ministerial Meeting of Arab-India Cooperation Forum was held on 24 January 2016 in Manama.
- 2 In the meeting, leaders reviewed the achievements of the Arab- Indian cooperation and adopted the Manama Declaration.
- 3 The leaders hoped comprehensive and permanent solution to the Arab-Israeli conflict should be achieved on the basis of UN Security Council resolutions, Madrid Peace conference of 1991 and the 2002 Arab Peace Initiative in Beirut.
- 4 There was a consensus that Israel should end its occupation of the Palestinian “Arab” territories it seized in 1967 and dismantle all the settlements



### FIRST INDIA ARAB MINISTERIAL CONFERENCE

- 5 The participants realized the need to preserve the unity, sovereignty, territorial integrity and stability of Syria and the importance to reach a political solution to the crisis that preserves the lives of Syrians.
- 6 There was a realization that United Nations Security Council needed reforms. It needed expansion in both permanent and non-permanent membership to reflect contemporary reality.
- 7 The leaders emphasized the need for regional and international efforts to combat terrorism and to develop a strategy to eliminate the sources of terrorism and extremism including its funding, and combating organized cross-border crime.



### CHINA'S WEST ASIA POLICY

China built ties with West Asian nations based on three principles – secure energy supplies, expand markets for finished goods and find investment opportunities.

- 1 For China's One Belt One Road initiative, West Asia is extremely important.
- 2 Relations between China and Saudi Arabia has become stronger through the energy relationship.
- 3 Saudi Arabia has agreed to support the Belt and Road initiative.



### CHINA'S WEST ASIA POLICY

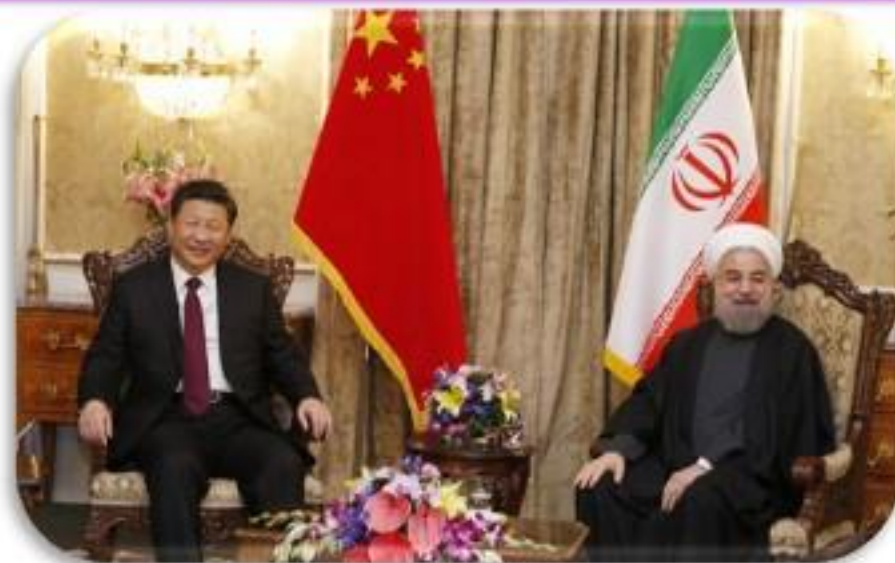
- 4 China feels Saudi Arabia should promote counter terrorism in West Asia and strengthen international cooperation to prevent the spread of extremist ideas.
- 5 From China's point of view, Iran is among the most stable countries in the region. Issues between US and Iran is seen as an opportunity by China.
- 6 During Iran's isolation era, China adopted a dual approach: it supported UN resolutions against Iran's nuclear program but continued to expand economic and security cooperation with Iran.



### CHINA-IRAN RELATIONS

#### COMPREHENSIVE STRATEGIC PARTNERSHIP

- 1 China and Iran have begun a 25-year strategic partnership in trade, politics, culture, and security.
- 2 Under this partnership China would invest a total of \$400bn in banking, transport and development sectors in Iran. In exchange, it would receive a regular, and discounted, supply of Iranian oil over the next 25 years.
- 3 The deal is part of Chinese President Xi Jinping's ambitious Belt and Road Initiative (BRI)
- 4 With the withdrawal of U.S. troop and the unrest of the Arab Spring, for middle powers like Iran have the opportunity to fill the vacuum and to boost their regional power.

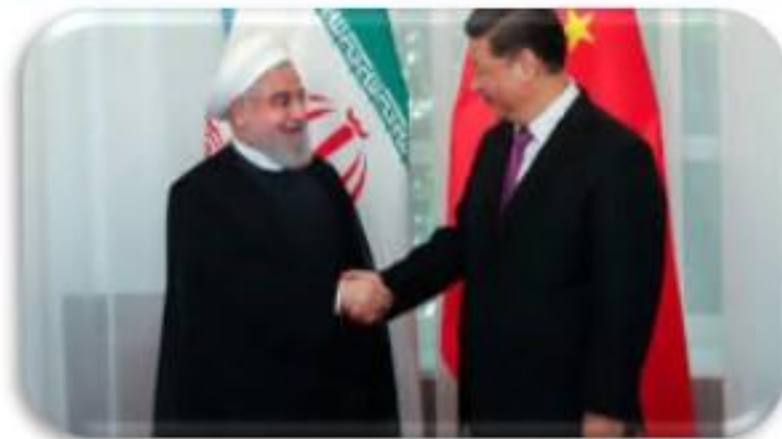


## RECENT DEVELOPMENTS

### CHINA-IRAN RELATIONS

#### WIN-WIN SITUATION

- 1 Iran is assured of its sale of oil and gas to China. This is important in the backdrop of the economic sanctions of the West.
- 2 Iran is also expected to use its strategic ties with China as a bargaining chip for any future negotiations with the West by taking advantage of china's growing economic and political clout in the region
- 3 China, in return, is promised of energy security and freedom of navigation through the Persian Gulf
- 4 China's growing influence in East Asia and Africa has challenged U.S. interests.



### CHINA-IRAN RELATIONS

#### WIN-WIN SITUATION

**5** Through this partnership, China will be able to develop several ports in Iran, such as the Bandar-e-Jask port which is strategically situated to the east of the Strait of Hormoz. Through this China would be able to control one of the seven key maritime chokepoints in the world.

**6** This can potentially undermine the US naval dominance in the Middle East, as China would be able to monitor the US Navy's Fifth Fleet based in Bahrain



### CHINA-IRAN RELATIONS

### REPERCUSSIONS FOR INDIA

- 1 Iran had been supportive of India's plans to establish new trade routes and signed several deals for the same.
- 2 However, since 2019, when India stopped purchasing oil from Iran to balance relations with USA and further strengthen its military-strategic ties with Israel; Indo-Iran relations got affected
- 3 Iran decided to exclude India from an extensive rail project that will connect the Iranian port city of Chabahar to Zahedan



### CHINA-IRAN RELATIONS

### REPERCUSSIONS FOR INDIA

**4** When India joined the Israeli-led "Trans-Arabian Corridor", it further encouraged Iran to seek new regional alliances. The Trans-Arabian Corridor aims to connect India to Eurasia through Israel and several Arab states. These countries are hostile to Iran.

**5** Iran's inclusion into the BRI framework is going to affect India's interest and weaken its presence in the region. After the US withdrawal, India's influence over the country will minimize further. China in Afghanistan.

**6** With a presence in Gwadar and Djibouti ports, China would be able to increase its presence in the Indian Ocean Region.



### CHINA-IRAN RELATIONS

### REPERCUSSIONS FOR INDIA

**8** Chinese presence in Iran would mean the Iranian port city of Chabahar would not compete with Pakistan's Gwadar. Disturbed relations with Iran would mean the transit trade to Afghanistan and Central Asia would continue through Pakistani ports.

**9** China could also assist Pakistan improve its relations with Iran and help in addressing issues in the ethno-separatist armed uprising in Balochistan.



### POLITICAL INSTABILITY IN WEST ASIA

**1** The security situation in West Asia has been continuously deteriorating ever since the onset of the Arab Spring in December 2010.

**2** The internal security situation in Syria, Iraq and Yemen has deteriorated.

**3** The regional powers continue to fight proxy wars on sectarian lines, pumping huge amount of money and weapons to bolster their favoured groups.

**4** The involvement of extra-regional players such as the USA and Russia in the internal conflicts in West Asia has further aggravated the situation.



### POLITICAL INSTABILITY IN WEST ASIA

- 5 The GCC-Iran rivalry, Shia-Sunni conflict, external intervention in the region, the fear of rise of religious radicalism etc have further contributed to instability in West Asia.
- 6 Terrorism has emerged as the biggest security threat to the region.
- 7 The rise of the Islamic State in Iraq and Syria (ISIS) is the most disturbing trend.



### THE WEST ASIAN DYNAMICS - FUTURE OF RELATIONS

- 1 The future of power equations in West Asia is extremely critical and important for India.
- 2 The closeness between Pakistan and Saudi Arabia is of concern to India.
- 3 The two countries are ideologically aligned and cooperate on issues related to Afghanistan.
- 4 With the withdrawal of the US forces, Pakistan's position in curbing Taliban influence has become important.
- 5 India, over the years, has preferred to work closely with Israel, Saudi Arabia and United Arab Emirates. India's earlier approach of balancing the powers in West Asia has affected its ability to pursue its geopolitical interests in the region.



### THE WEST ASIAN DYNAMICS - FUTURE OF RELATIONS

**6** But India's closeness with these nations is bound to affect its relations with Iran. This is evident from the Iran-China Strategic Partnership.

**7** Iran is extremely important for India with regards to energy security, route to Afghanistan, International North-South Corridor and Chabahar port.

**8** About 8 million Indian live and work in the GCC countries and remit about \$35 billion annually.

**9** India needs to ensure the safety and security of its people.



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